

EIE Unit 2 - Building Teams, Design Thinking & Effectuation Overview

Module M4 - Building/Leading Teams in Startups

Why Teams Matter

- **#3 Reason Startups Fail:** “Not the Right Team” (CB Insights)
- Teams multiply skills, perspectives, and energy beyond what individuals can achieve
- Entrepreneurship is fundamentally a team sport

Effective Team Characteristics

Core Elements

1. **Good Communication:** Handle disagreements constructively
2. **Consensus Decision-Making:** Most decisions made collectively
3. **Learning & Sharing:** Teams continuously learn and share knowledge
4. **Trust:** Foundation for all team interactions
5. **Purpose & Shared Beliefs:** Clear common direction
6. **Clear Roles/Responsibilities:** Everyone knows their function
7. **Collaborative Effort:** Focus on team success over individual glory
8. **Diversity & Inclusion:** Multiple perspectives and backgrounds

Diversity Framework

“Diversity is being invited to the party. Inclusion is being asked to dance.” - Verna Myers

Optimal Levels of Entrepreneurial Diversity: - **Expertise:** High diversity (different skills complement each other) - **Opinion:** Moderate diversity (some disagreement drives innovation) - **Power:** Low diversity (clear decision-making structure)

High-Performing Teams

Key Characteristics: Energy, Engagement, Exploration

Critical Success Factor: Face-to-face communication remains most valuable, even in remote settings

Team Dysfunction Warning Signs

Early indicators of problems: 1. **Criticism**: Attacking person vs. addressing behavior 2. **Contempt**: Superiority and disrespect 3. **Defensiveness**: Refusing accountability 4. **Stonewalling**: Shutting down communication

Founding Team Structure

Balanced Founding Team Roles

1. **Visionary**: Key driver who brings idea to life and inspires team
2. **Builder/Hacker**: Builds the product/solution and technical infrastructure
3. **Hustler**: Focuses on selling the product/solution (not defined by title but attitude)

Team Hierarchy

- **Founder(s)**: Has initial idea; may or may not have leadership role
- **Founding Team**: Complementary skills that build the early organization
- **Founding CEO**: Brings order, creates “comfort in chaos,” leads the company

Leadership Principles

What Great Leaders Do

- **Vision**: Articulate clear direction (Steve Jobs example)
- **Listen**: Active listening, kindness, respect (Obama example)
- **Trust Building**: Prioritize trust over performance metrics
- **Team Care**: Taking care of team members' needs
- **Empathy & Perspective**: Understanding others' viewpoints

What Leaders Should Avoid

- **Micromanagement**: Over-controlling team activities
- **Lack of Empathy**: Being disconnected from team needs

Emotional Intelligence Over IQ

Key leadership trait: Emotional intelligence more important than technical savviness or IQ

Founder Traits

Essential characteristics for startup founders: - **Perseverance**: Ability to persist through challenges - **Failure Management**: Viewing failure as learning opportunity - **Uncertainty Handling**: Comfort with ambiguous situations - **Rejection Management**: Dealing with idea/product rejection - **Optimism**: “Half-glass-full” mentality - **Adaptability**: Flexibility in changing circumstances

Module M5 - Human-Centered Innovation

Design Thinking Overview

Definition & Origins

- **Process:** Creative problem-solving methodology
- **Founder:** David Kelley (IDEO founder, Stanford d.school)
- **Applications:** Beyond tech - space, medical, business design
- **Core Philosophy:** Human-centered approach through deep understanding of people

Design Thinking Triangle

Intersection of three critical areas: 1. **User Desirability:** What people want/need 2. **Technical Feasibility:** What's technically possible 3. **Business Viability:** What's economically sustainable

Why Design Thinking Matters for Startups

1. **Surface Unmet Needs:** Discover what customers truly need
2. **Revolutionary Solutions:** Generate breakthrough innovations, not just incremental improvements
3. **Risk Reduction:** Lower risk of launching unsuccessful ideas

Three Key Principles

1. **Empathy:** Deep understanding of users
2. **Ideation:** Creative solution generation
3. **Experimentation:** Testing and iterating solutions

Design Thinking Process

Five-Stage Framework (Stanford d.school)

1. **Empathize:** Understand users deeply
2. **Define:** Articulate user needs and problems
3. **Ideate:** Generate creative solutions
4. **Prototype:** Build testable solutions
5. **Test:** Validate solutions with users

Alternative Five-Phase Model

1. **Discovery:** "I have a challenge - How do I approach it?"
2. **Interpretation:** "I learned something - How do I interpret it?"
3. **Ideation:** "I see an opportunity - What do I create?"
4. **Experimentation:** "I have an idea - How do I build it?"
5. **Evolution:** "I tried something - How do I evolve it?"

Design Thinking Mindset

Key Principles from Guest Lecture (Prof. Chitra Vishwanathan)

- **Human-Centered:** Customer is your biggest influencer
- **Empathy-Driven:** Constant exercise in understanding users
- **Story-Powered:** Stories remembered 22x more than facts
- **Outside-the-Box Thinking:** Innovation comes from unexpected perspectives

Design Philosophy (Dieter Rams)

Good Design Is: 1. Innovative 2. Makes product useful 3. Aesthetic 4. Makes product understandable 5. Unobtrusive 6. Honest 7. Long-lasting 8. Thorough to last detail 9. Environmentally-friendly 10. As little design as possible

Effectuation

Traditional vs. Effectuation Approach

Causal Logic (Traditional Entrepreneurship)

1. Come up with brilliant idea
2. Show large market exists
3. Write winning business plan
4. Raise money
5. Build and grow venture
6. Go public or sell

Effectuation Logic

“To an extent we can control the future, we don’t need to predict it”

Cooking Analogy: - **Causal:** Have specific menu, shop for ingredients, follow recipe - **Effectual:** Look in fridge, see what’s available, make dinner accordingly

Five Principles of Effectuation

1. Bird-in-Hand Principle

Start with your means: Who you are, What you know, Whom you know - Begin with existing resources and capabilities - Imagine possibilities from available means

2. Affordable Loss Principle

Invest what you can afford to lose (extreme case: \$0) - Limit risk by understanding acceptable loss levels - Choose goals with upside potential even if downside occurs

3. Lemonade Principle

Leverage contingencies: Embrace and leverage surprises - Invite the surprise factor - Interpret “bad” news as clues to create new markets

4. Crazy Quilt Principle

Form partnerships: Build network of self-selected stakeholders - Obtain pre-commitments from key partners early - Co-create new markets with interested participants

5. Pilot-in-the-Plane Principle

Co-create the future: Focus on activities within your control - Future is neither found nor predicted but created - Actions within control lead to desired outcomes

When to Use Each Approach

Effectuation Best For:

- High uncertainty environments
- Early-stage ventures
- Limited resources
- Exploratory phases

Causal Logic Best For:

- Predictable environments
- Scaling established businesses
- Resource-rich situations
- Execution phases

Control vs. Prediction Matrix

Control/Prediction	Low Prediction	High Prediction
High Control	CO-CREATE (Effectuation)	PLAN (Causal)
Low Control	ADAPT	VISIONARY

Integration & Practical Applications

CIE Spark 2025 Integration

Three-Phase Journey: 1. **Phase 1:** Problem Hunt (Individual detective work) 2. **Phase 2:** Team Formation (Multidisciplinary collaboration) 3. **Phase 3:** Validation Sprint (Prove problem worth solving)

Key Activities & Tools

Team Building

- **DISC Personality Assessment:** Understanding team member styles
- **Role Definition:** Clear understanding of who does what
- **Communication Protocols:** Establishing effective interaction methods

Design Thinking

- **Empathy Mapping:** Understanding user experiences
- **Brainstorming Sessions:** Quantity over quality initially
- **Rapid Prototyping:** Quick testing of concepts

Effectuation Practice

- **Lemonade Stand Challenge:** Apply effectuation principles in small-scale venture
 - **Resource Inventory:** Catalog existing means
 - **Partnership Development:** Build stakeholder networks
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Synthesis: How It All Connects

Team + Design Thinking + Effectuation

1. **Teams** provide diverse perspectives needed for human-centered innovation
2. **Design Thinking** ensures solutions address real user needs
3. **Effectuation** provides framework for action under uncertainty

Leadership Through Innovation

- Great leaders in startups combine emotional intelligence with design thinking mindset
- Effectuation principles align with entrepreneurial leadership approach
- Teams that master all three areas significantly increase success probability

Key Success Factors

1. **Build Right Team:** Complementary skills, shared vision, effective communication
2. **Understand Users Deeply:** Use design thinking to create truly valuable solutions

3. **Start with Available Means:** Apply effectuation to begin immediately with existing resources
4. **Iterate and Learn:** Combine all approaches in continuous improvement cycles

This unit emphasizes that successful startups require more than just good ideas - they need well-functioning teams, user-focused design processes, and practical approaches to turning uncertainty into opportunity.